

		The obligation to advise opposing counsel of an impending default is part of an attorney's responsibility to the court and the legal profession and takes precedence over the obligation to represent the client effectively. (<i>LaSalle, supra</i>, 36 Cal.App.5th at pp. 134, 137, 248 Cal.Rptr.3d 263.) That duty, and counsel's responsibility to behave with professional courtesy, existed long before <i>LaSalle</i> was issued. (See <i>id.</i> at pp. 132-135, 248 Cal.Rptr.3d 263.) The <i>LaSalle</i> court not only reaffirmed counsel's ethical duty to warn opposing counsel of an impending default judgment but concluded that obligation is imposed by statute: "So to the extent it was possible for a party seeking a default with unseemly haste to commit an <i>ethical</i> breach without creating a legal issue, that distinction was erased by section 583.130. The ethical obligation to warn opposing counsel of an intent to take a default is now reinforced by a statutory policy that all parties 'cooperate in bringing the action to trial or other disposition.' [Citation.] Quiet speed and unreasonable deadlines do not qualify as 'cooperation' and cannot be accepted by the courts." (<i>Id.</i> at p. 137, 248 Cal.Rptr.3d 263.) Attorneys who do not comply with that obligation are "practicing in contravention of the policy of the state and menacing the future of the profession." (<i>Id.</i> at p. 141, 248 Cal.Rptr.3d 263.) <i>Shapell Socal Rental Properties, LLC v. Chico's FAS, Inc.</i> (2022) 84 Cal.App.5th 166, 213–214 (reversing order denying relief from default). Given Plaintiff's counsel's failure to notify Defendants' counsel that Defendant's default would be taken, and the resulting surprise to Defendant and his counsel, the court exercises its discretion to grant relief under Code Civ. Proc. § 473(b). <i>Shapell Socal Rental Properties, LLC v. Chico's FAS, Inc.</i>, 84 Cal.App.5th at 216-19. <i>See also Credit Managers Assn. v. National Independent Business Alliance</i> 162 Cal. App. 3d at 1173 (reversing denial of relief from default: "Plaintiff was not notified of the assignor's service of process or default being entered before the entry of the default judgment, and was thus taken by surprise."); <i>Baxter v. Prescott</i> (1958) 158 Cal. App. 2d 531, 533-34 (affirming order granting relief from default and finding that ongoing settlement negotiations and absence of warning re default constituted grounds for relief).
9	2024-1400995 Prince vs. GQG Partners LLC	Motion to Quash Motion to Dismiss Case Management Conference Specially Appearing Defendants GQG Partners LLC ("GQG") and Steve Ford ("Ford") (collectively, 'Defendants') seek an order quashing service

of summons on the ground of lack of personal jurisdiction and an order dismissing or staying this action on the ground of *forum non conveniens*.

MOTION TO QUASH

There is no dispute the motion is timely. (Code Civ. Proc., § 418.10, subd. (a).)

Because Plaintiff did not contend the specially appearing defendants are subject to the Court's general jurisdiction, the Court finds Plaintiff conceded that there is no basis for exercising general jurisdiction over Defendants. (*T.A.W. Performance, LLC v. Brembo, S.p.A.* (2020) 53 Cal.App.5th 632, 640.)

Plaintiff's complaint alleges the following causes of action: breach of contract; failure to pay all wages due at termination; and unfair business practices. After these motions were filed, Plaintiff filed a first amended complaint ("FAC") alleging the following causes of action: breach of contract; failure to pay all wages due at termination; breach of covenant of good faith and fair dealing; constructive discharge in violation of public policy; and unfair business practices. The causes of action arise out of the alleged nonpayment of commissions Plaintiff earned through his sales in California, Arizona, and other states and his employment with GQG. Despite the filing of the FAC, Defendants requested the Court proceed with the hearing on these motions. The allegations in the FAC do not affect the analysis of either of these two motions. There was no objection to the evidence presented.

Plaintiff met his initial burden to show GQG purposefully availed itself of forum benefits with respect to the matter in controversy and the controversy is related to or arises out of the GQG's contacts with the forum (*Bristol-Myers Squibb Co. v. Superior Court of California, San Francisco County* (2017) 582 U.S. 255, 256; *Vons Companies, Inc. v. Seabest Foods, Inc.* (1996) 14 Cal.4th 434, 447; *ViaView, Inc. v. Retzlaff* (2016) 1 Cal.App.5th 198, 209-210 (internal citations omitted); see *Ziller Electronics Lab GmbH v. Superior Court* (1988) 206 Cal.App.3d 1222, 1232-1233; Prince Decl., ROA No. 67, ¶¶ 3-5, 8, 9, and 12.)

A choice of law provision in a specific jurisdiction "may be germane to the jurisdictional analysis." (*T.A.W. Performance, LLC v. Brembo, S.p.A.* (2020) 53 Cal.App.5th 632, 644.) GQG showed the parties entered into a written agreement, titled "Confidential Information, Inventions, and Nonsolicitation Agreement" ("NDA") at the time of Plaintiff was hired. The NDA included a choice of law and forum selection clause, submitting to the jurisdiction of Florida courts. (Butler Decl., Exhibit E, Section 11(a).) There is no dispute the NDA was a condition to Plaintiff's employment. However, the NDA appears to be limited to confidential information obtained while employed by GQG. The NDA is not an employment agreement and does not discuss

compensation, which is what is at issue in this action. Nor does the NDA govern a wrongful discharge claim or breach of covenant of good faith and fair dealing in an employment agreement as alleged in the FAC. GQG did not show the exercise of jurisdiction over it would be unreasonable. (*West Corp. v. Superior Court* (2004) 116 Cal.App.4th 1167, 1178-1179.) Accordingly, the motion to quash is denied as to GQG.

Plaintiff did not meet Plaintiff's burden to show by a preponderance of the evidence that exercising personal jurisdiction over Ford would be reasonable. Plaintiff did not show Ford had any contacts with a California resident, nor did Plaintiff show Ford purposefully availed himself of benefits from California. In addition, Defendants showed Plaintiff did not reside in California while he was employed by GQG (a fact Plaintiff did not dispute), that policies and procedures Ford set in place were subject to a chain of command and were approved by GQG's chairman and CEO, that Ford has been on 5-10 calls with individuals or entities based in California (unrelated to Plaintiff), that Ford was a resident of Tennessee since 2020 and never lived in California, that Ford never personally did any business in California, never directed any activities in his personal capacity to California, and did not own property in California, did not have financial ties to California, and that Ford only traveled to California twice for the purposes of vacation. (Ford Decl., ¶¶ 14, 21, and 24-31.)

Accordingly, the motion as to Ford is granted.

MOTION TO DISMISS AND/OR STAY

As an initial matter, the Court declines to consider the new evidence Defendants submitted in support of their reply. (*Jay v. Mahaffey* (2013) 218 Cal.App.4th 1522, 1537-1538.)

As discussed above, the Court declines to find Plaintiff's claims in this action, whether as alleged in the complaint or the FAC, are encompassed by the NDA. Accordingly, the forum selection clause does not apply to this action.

In light of the ruling above, the motion to dismiss is moot as to Ford. However, as discussed below, if the Court had determined personal jurisdiction could be properly exercised over Ford, Defendants' motion to dismiss is granted as to both GQG and Ford.

Defendants bear the burden of proof, meaning defendants must provide the trial court with sufficient evidence to enable it to carry out its weighing and balancing analysis. (*National Football League v. Fireman's Fund Ins. Co.* (2013) 216 Cal.App.4th 902, 933, fn. 15.) The quantum of evidence needed to satisfy that burden may vary depending on whether Plaintiff is or is not a California resident and whether

Defendants seek a stay of the action or a dismissal. (*Id.* at 939-940; Weil & Brown, Cal. Prac. Guide: Civ. Pro. Before Trial (The Rutter Group 2024 ¶ 3:408.5.)

Plaintiff's choice of forum is entitled only to "due deference." (*National Football League v. Fireman's Fund Insurance Company*, 216 Cal.App.4th at 929-930.) Defendants showed Plaintiff was not a resident of California at the time of his employment, which Plaintiff does not dispute. (Ford Decl., ¶¶ 9, 12-14, and 16.) Defendants contend Plaintiff is not currently a California resident, which Plaintiff does not dispute.

Defendants established the existence of a suitable alternative forum in which a valid judgment may be obtained against Defendants. (*Shiley Inc. v. Superior Court* (1992) 4 Cal.App.4th 126, 131-133; *Am. Cemwood Corp. v. Am. Home Assurance Co.* (2001) 87 Cal.App.4th 431, 433; Ford Decl., ¶¶ 4 and 5.) Defendants do not dispute Ford would be subject to Florida's jurisdiction. (Reply, 9:16-17.) Plaintiff has not shown Plaintiff's action would be procedurally barred in Florida.

Private interest factors relate to where the trial and enforcement of any judgment will be the most expeditious and least expensive. Included are such matters as: (1) access to sources of proof (residence of parties, witnesses, location of physical evidence); (2) cost of obtaining attendance of witnesses; (3) availability of compulsory process for attendance of unwilling witnesses. (*Stangvik v. Shiley Inc.*, (1991) 54 Cal.3d 744, 751 and fn. 3; *Morris v. AGFA Corp.* (2006) 144 Cal.App.4th 1452, 1463-1464.) The public interest factors include: (1) avoiding overburdening local courts with congested calendars, (2) protecting the interests of potential jurors so that they are not called upon to decide cases in which the local community has little concern; and (3) weighing the competing interests of California and the alternative jurisdiction in the litigation, which may include such matters as: (a) California's interest in regulating the transaction or activities involved. (*Stangvik v. Shiley Inc.*, *supra*, 54 Cal.3d at 751; *Morris v. AGFA Corp.*, *supra*, 144 Cal.App.4th at 1464.)

Based on a balancing of the public and private factors, the Court finds the matter would be more properly heard in Florida.

Neither party submitted evidence to show the location of proof other than the residence of the parties. Defendants showed GQG is headquartered in California, that its Chairman, CIO, and CEO are based in Florida, and that it does not maintain offices in California. (Ford Decl., ¶¶ 4-6.) Although California does have an interest in protecting persons who work in California, the evidence submitted suggests the parties intended for Florida law to apply to their relationship. (Butler Decl., Exhibit E, Section 11(a).)

Plaintiff has not shown where Plaintiff's witnesses would be located or that California witnesses would be required in this action. Although some of the commissions are based on transactions with customers in California (and the other areas Plaintiff serviced – Arizona, Guam, Hawaii, and Utah), there are also commissions likely at issue in these other territories, including also Alabama, Florida, Georgia, South Carolina, Tennessee, and Puerto Rico, which Plaintiff covered in 2023. (Ford Decl., ¶¶ 10, 15, and 16.) Plaintiff offered no evidence to show the location of physical evidence, which would likely be in Florida. This action is not limited to only commissions earned from California transactions.

As for the application of California law, Plaintiff's contention that the Labor Code "irrefutably applies to work performed in California and that California's employment laws govern work performed within the state, regardless of the residence or domicile of the worker or employer" is inaccurate. Plaintiff cites to *Sullivan v. Oracle Corp.* (2011) 51 Cal.4th 1191, which held Labor Code section 1194 applies to nonresidents working in California. However, the California Supreme Court expressly cautioned that the holding was limited to section 1194 and "presents no issue concerning the applicability of any provision of California wage law other than the provisions governing overtime compensation." (*Sullivan v. Oracle Corp.* (2011) 51 Cal.4th 1191, 1201.) In addition, the California Supreme Court cautioned that "one cannot necessarily assume the same result would obtain for any other aspect of wage law." (*Id.*) Our California Supreme Court has held that the itemized wage statement requirement does not apply to an entity not based in California who employs persons who do not work principally in one state. (*Ward v. United Airlines, Inc.* (2020) 9 Cal.5th 732.)

Plaintiff also cites to Labor Code section 1171.5 to support his contention that the Labor Code applies to him. Contrary to Defendants' contention, Labor Code section 1171.5 does not apply only to nondocumented workers. (*Sullivan v. Oracle Corp.* (2011) 51 Cal.4th 1191, 1197, fn. 3 ["Section 1171.5, however, cannot reasonably be read as speaking only to undocumented workers, given that it was drafted and codified as a general preamble to the wage law and broadly refers to 'all individuals' employed in the state. (*Id.*, subd. (a).) More importantly, no reason exists to believe the Legislature intended to afford stronger protection under the employment laws to persons working illegally than to legal, nonresident workers."].) "Just as Labor Code section 1171.5 weighs against finding nonresidence disqualifying for purposes of applying state labor protections, it also weighs against finding residence to be the sine qua non for purposes of *applying* those protections. The Legislature expressed a clear intent not to have the availability of labor protections turn on legal residency in the state." (*Ward v. United Airlines, Inc.* (2020) 9 Cal.5th 732, 758.)

Although the California Labor Code could apply to Plaintiff's claims, there is no showing that a Florida Court could not apply the California Labor Code in adjudicating Plaintiff's claims. (*Ward v. United Airlines, Inc.* (2020) 9 Cal.5th 732, 755-756 and 760; Ford Decl., ¶¶ 6 and 12; Prince Decl., ¶ 8.)

Plaintiff has not shown the interest a juror pool in California would have in a case involving commissions owed by a non-California entity with no physical presence in California to a nonresident who worked primarily in California, among other states.

Plaintiff did not meet Plaintiff's burden to show a Florida court is unsuitable. (*Hahn v. Diaz-Barba* (2011) 194 CA4th 1177, 1191.)

Accordingly, the motion is granted.

There is no dispute that the parties are not residents of California. Accordingly, the case is dismissed without prejudice. (Code Civ. Proc., § 581 subd. (h); *Century Indemnity Co. v. Bank of America* (1997) 58 Cal.App.4th 408, 411.)

Case Management Conference

In light of the ruling above, the Case Management Conference is vacated.

Specially Appearing Defendants shall give notice unless notice is waived.